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ii. Autonomy Only in Name

Independent character of a Government company exists only in name. In reality, politicians, ministers, Government officials, interfere excessively in the day-to-day working of the government company.

iii. A Fraud on Companies Act and Constitutions

A Government company is criticized as being a 'fraud on the Companies Act and on the Constitution. This criticism is valid on the ground that the Government can exempt a Government company from application of several provisions of the Companies Act. Again, the Parliament is not taken into confidence, while creating a Government company.

iv. Fear of Exposure

The annual report of the government company is placed before the Parliament/ State Legislature. The working of the company is exposed to Press criticism: Therefore, management of the Government Company often gets demoralized and may not take initiative to come out with and implement something innovative.

list of Government Company and their Logo

Company	Headquarter	Company Logo
Coal India Ltd	Kolkata	
Steel Authority of India Ltd	New Delhi	
Tamil Nadu State Transport Corporation Ltd.	Chennai	
Gas Authority of India Limited	New Delhi	GAIL (India) Limited

v. Lack of Expertise in Deputationists

The key personnel of a Government company are often deputed from Government departments. These deputationists generally lack expertise and commitment; leading to lower operational efficiency of the government company.

vi. Selfish Functioning

The Government Company works neither for the government nor for the public at large. It serves the personal interests of people who work in the company and who dictate policies of the company.

Key Terms

Departmental Undertaking
Public Corporation
Government Company
Nationalisation



For Own Thinking

1. Name any two examples of Departmental undertaking business.
2. Name any two examples of Public corporation.
3. Name any two examples of Government Company.